

1. Fixed Amount approach



+10,500

You divide the budget of INR 21,000 equally between them since they have the same performance rating. That means increasing the salary of Tanu and Manu by a fixed amount of INR 10,500. In this case, Manu’s salary will double. Which is not the right thing to do. If you are opting for a fixed amount approach, you must increase different amounts for different roles.



+10,500

2. Fixed Percentage Approach

You increase 10% salary for both of them. Then you are able to balance it rationally.

Employee Name	Current Salary (INR)	New Salary - Fixed Amount Increment (INR)	New Salary - Fixed 10% increment (INR)
Manu	10,000	10,000 + 10,500	11,000
Tanu	200,000	200,000 + 10,500	220,000

There is a problem with percentage increment as well. Suppose, there are two employees, Ajay and Vijay, both performing the same role. The salary range for the job is INR 10,000 to INR 20,000. If Ajay is receiving INR 10,000 and Vijay is receiving INR 20,000. You give a 10% salary increment. This is how it will look like (All figures are in INR)

Employee Name	Current Salary (P)	Salary Increase with 10% increment (Q)	Revised Salary (P+Q)
Ajay (A)	10,000	10,000 x 10%	11,000
Vijay (V)	20,000	20,000 x 10%	22,000
Difference (V - A)	10,000	11,000	11,000

The gap between their salary was INR 10,000 before the increment. The salary gap between them increased to 11,000 after the increment. This problem is solved using the Compensation Ratio (Compa Ratio).